



Advertisements (Hire-Purchase) Act 1967

1967 CHAPTER 42

An Act to consolidate the enactments relating to the contents of advertisements displayed or issued in connection with hire-purchase or credit-sale.

[14th July 1967]

BE IT ENACTED by the Queen's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows:—

Information to be included in advertisements of goods as available on hire-purchase.

1.—(1) Where an advertisement of any goods as being available for disposal on hire-purchase is displayed or issued containing—

- (a) an indication that a deposit is payable in respect of those goods, consisting of or including either an indication of the amount of the deposit or an indication that it is a fraction specified in the advertisement, whether the amount of which it is a fraction is specified in the advertisement or not, or
- (b) words indicating that no deposit is payable in respect of those goods, or
- (c) an indication of the amount of any one or more of the instalments so payable,

the advertisement shall contain, in respect of those goods, the information required by Part I of Schedule 1 to this Act.

(2) Where an advertisement of any goods as being available for disposal on hire-purchase is displayed or issued containing—

- (a) the amount, directly expressed, of the deposit payable in respect of those goods, or

(b) the amount, directly expressed, of any one or more of the instalments so payable, or

(c) a sum stated as the hire-purchase price of those goods, the advertisement shall contain, in respect of those goods, both the information required by Part I of Schedule 1 to this Act and the information required by Part II of that Schedule.

(3) Where an advertisement of any goods as being available for disposal on hire-purchase is displayed or issued containing a fraction represented as being the rate of interest or rate of charge to be borne by the hirer in hiring the goods in accordance with the advertisement (or stated in the advertisement in such a way that it could reasonably be understood to be so represented), then—

(a) the advertisement shall contain, in respect of those goods, both the information required by Part I of Schedule 1 to this Act and the information required by Part II of that Schedule ; and

(b) the advertisement shall comply with the provisions of Part III of that Schedule.

(4) An advertisement shall not be treated as complying with this section unless each part of the information required by Part I, or, as the case may be, Parts I and II, of Schedule 1 to this Act is displayed clearly in the advertisement, in such a way as not to give undue prominence to any part of it in comparison with any other part.

(5) For the purposes of this Act a sum indicated in an advertisement (whatever the words used) as being the total amount which, on a hire-purchase of any goods, would be payable by the hirer shall be taken to be stated therein as the hire-purchase price of the goods.

2.—(1) Subject to subsection (2) below, section 1 of this Act shall apply in relation to an advertisement of any goods as being available for disposal on credit-sale as if, in that section and in Schedule 1 to this Act,—

Application to advertisements of goods as available on credit-sale.

(a) for any reference to hire-purchase there were substituted a reference to credit-sale,

(b) for any reference to hire-purchase price there were substituted a reference to total purchase price ; and

(c) for any reference to the hirer or to hiring the goods there were substituted respectively a reference to the buyer or to buying the goods.

(2) Section 1 of this Act shall not apply to an advertisement of goods as being available for disposal on credit-sale if—

(a) it does not also advertise any goods as being available for disposal by way of hire-purchase, and

- (b) the terms of credit-sale set out in the advertisement are such that no single article could be disposed of in accordance with those terms at a total price exceeding £5.

(3) Any reference in the following provisions of this Act (including Schedule 1) to any provision of section 1 of this Act includes a reference to that provision as applied by this section.

Advertisements of goods as available for disposal in different ways.

3.—(1) Where there is displayed or issued an advertisement of any goods as being available for disposal alternatively on hire-purchase or on credit-sale, any information required by this Act to be included in the advertisement shall not be taken to be displayed clearly in the advertisement unless it is displayed so as to distinguish clearly between the information applicable to hire-purchase and the information applicable to credit-sale.

(2) Where there is displayed or issued an advertisement of any goods as being available for disposal on two or more alternative schemes of credit-sale, any information required by this Act to be included in the advertisement shall not be taken to be displayed clearly in the advertisement unless it is displayed so as to distinguish clearly between the information applicable to each of the schemes.

Film and television advertisements.

4.—(1) The following provisions of this section apply in relation to any advertisement which is contained in a cinematograph film or in a television programme, and any reference in those provisions to an advertisement shall be construed accordingly.

(2) For the purposes of determining whether an advertisement is displayed or issued containing, in respect of any goods, any of the matters specified in paragraphs (a) to (c) of subsection (1) or of subsection (2) of section 1 of this Act or containing such a fraction as is referred to in subsection (3) of that section, anything included in any spoken words or other sounds by which the advertisement is accompanied shall be taken to form part of the advertisement.

(3) For the purpose of determining whether any information required by Part I or Part II of Schedule 1 to this Act is contained in an advertisement, information shall not be taken to be so contained unless it is contained in a visual form.

(4) In determining, for the purposes of section 1(4) of this Act, whether each part of any information is displayed clearly in an advertisement, in such a way as not to give undue prominence to any part of it in comparison with any other part, regard shall be had to the length of time for which the advertisement is displayed (or, if different parts of the advertisement are displayed successively, to the length of time taken by each of them and to the aggregate length of time taken by them all) as well as to the contents of the advertisement.

5. For the purposes of this Act it is immaterial whether information included in an advertisement about any goods does or does not correspond with the terms on which the goods are in fact disposed of ; and accordingly—

Actual terms
of disposal
not material.

- (a) for the purposes of section 1 of this Act, an advertisement shall be taken to contain the amount of a deposit or instalment if it specifies an amount as being the amount of the deposit or instalment in question, and
- (b) in so far as any provision of this Act requires information as to an amount or number, or the length of a period, to be included in an advertisement, that provision (subject to compliance with any requirement of this Act as to the manner in which any such information is to be expressed or displayed) shall be taken to be complied with if the advertisement specifies an amount or number, or length of period, as being the amount or number in question, or the length of the period in question, as the case may be.

6.—(1) Subject to the provisions of this section, any person who displays or issues an advertisement in contravention of the preceding provisions of this Act or causes an advertisement to be displayed or issued in contravention of those provisions, shall be guilty of an offence and liable on summary conviction,—

Penalties.

- (a) if it is his first conviction of an offence under this Act and he has not been convicted of an offence under the Advertisements (Hire-Purchase) Act 1957, to a fine not exceeding £50 ;
- (b) in any other case, to a fine not exceeding £100.

(2) Where a person is charged with an offence under this Act, it shall be a defence to prove—

- (a) that the matters contained in the advertisement did not relate to anything to be done in the course of a business carried on by him ; and

(b) that the matters so contained were not (wholly or in part) devised or selected by him or by any other person under his direction or control.

(3) Proceedings for any offence under this Act may (without prejudice to any jurisdiction exercisable apart from this subsection) be taken against a person at any place at which he is for the time being.

(4) Where an offence under this Act committed by a body corporate is proved to have been committed with the consent or connivance of, or to be attributable to any neglect on the part of, any director, manager, secretary or other similar officer of the body corporate or any person who was purporting to act in any such capacity, he as well as the body corporate shall be guilty of that offence and shall be liable to be proceeded against and punished accordingly:

Provided that, for the purposes of the application of subsection (2) above to any proceedings, in so far as they are brought against a person by virtue of this subsection in respect of an offence committed by a body corporate, references in paragraphs (a) and (b) of that subsection to the person charged shall be construed as references to the body corporate.

(5) In subsection (4) above "director", in relation to a body corporate established by or under any enactment for the purpose of carrying on under national ownership any industry or part of an industry or undertaking, being a body corporate whose affairs are managed by its members, means a member of that body corporate.

Interpretation. 7.—(1) In this Act "hire-purchase" means—

(a) in relation to England and Wales, the bailment of goods in pursuance of an agreement under which the bailee may buy the goods or under which the property in the goods will or may pass to the bailee, whether on the performance of any act by the parties to the agreement or any of them or in any other circumstances, and

(b) in relation to Scotland, the letting of goods under a contract, in whatsoever terms it may be expressed and whether it be truly one of sale or hire, whereby goods are taken on hire by one person from another person in consideration of periodical payments to be made by the first mentioned person to the other person, with an option to the first mentioned person to become the buyer of the goods.

(2) In this Act "credit-sale" means the sale of goods in pursuance of an agreement under which the whole or part of the purchase price is payable by instalments.

(3) In this Act, except in so far as the context otherwise requires,—

"advertisement" includes every visual form of advertising (whether or not accompanied by spoken words or other sounds), whether in a publication, or by the display of notices, or by means of catalogues, price lists, labels, cards or other documents, or by the exhibition of cinematograph films or photographs, or by way of television, or in any other way, but does not include any form of advertising consisting only of spoken words, with or without other sounds;

"deposit" includes any initial payment to be made before or at the time of entering into an agreement;

"directly expressed" means expressed (whether in words or figures or both) otherwise than as a fraction of, or by reference to, some other amount;

"disposal", in relation to goods, includes—

(a) the disposal of the ownership of the goods, or of any proprietary interest in them, or of the right to possession of the goods, and

(b) the disposal of the possession of the goods, whether or not accompanied by any disposal of the ownership of the goods, or of any proprietary interest in them, or of the right to possession of them;

"fraction" includes a proportion expressed as a percentage or in any other way;

"goods" includes vehicles, vessels, aircraft and animals, and generally articles of any description.

8.—(1) This Act may be cited as the Advertisements (Hire-Purchase) Act 1967. Short title,
etc.

(2) The enactments specified in Schedule 2 to this Act are hereby repealed to the extent specified in column 3 of that Schedule.

(3) In the Trading Stamps Act 1964, in section 10(1), in the definition of "purchase", for the reference to the Advertisements (Hire-Purchase) Act 1957 there shall be substituted a reference to this Act. 1964 c. 71.
1957 c. 41.

(4) This Act shall come into operation at the expiry of the period of one month beginning with the day on which it is passed.

(5) This Act does not extend to Northern Ireland.

SCHEDULES

Section 1.

SCHEDULE 1

REQUIREMENTS AS TO INFORMATION AND OTHER MATTERS

PART I

INFORMATION REQUIRED FOR ALL ADVERTISEMENTS WITHIN SECTION 1

1.—(1) An advertisement falling within subsection (1), subsection (2) or subsection (3) of section 1 of this Act shall contain the following information,—

- (a) the total number of instalments payable ;
- (b) the length of the period in respect of which each instalment is payable ; and
- (c) if any instalments are payable before delivery of the goods, the number of instalments so payable.

(2) Unless such an advertisement contains the information required by Part II of this Schedule, it shall also contain either—

- (a) a statement that the amount of the deposit is a fraction specified in the advertisement of a price or sum the nature of which is clearly indicated in the advertisement ; or
- (b) a statement that no deposit is payable.

PART II

FURTHER INFORMATION REQUIRED FOR ADVERTISEMENTS WITHIN SECTION 1(2) OR SECTION 1(3)

2. An advertisement falling within subsection (2) or subsection (3) of section 1 of this Act shall contain the following information—

(a) either—

- (i) the amount of the deposit directly expressed, or
- (ii) a statement that the amount of the deposit is a fraction specified in the advertisement of a sum the amount of which is directly expressed therein, or
- (iii) a statement that no deposit is payable ;

(b) the amount of each instalment directly expressed ;

(c) a sum stated as the cash price of the goods ; and

(d) a sum stated as the hire-purchase price of the goods and being the amount (directly expressed) of the aggregate of the amount of the deposit (if any) and of all the instalments payable.

PART III

FURTHER REQUIREMENTS FOR ADVERTISEMENTS
WITHIN SECTION 1(3)

3.—(1) In an advertisement falling within subsection (3) of section 1 of this Act—

- (a) the instalments must be expressed as instalments of equal amounts and payable in respect of equal periods, and for this purpose any period of a calendar month shall be taken to be equal to any other period of a calendar month ;
- (b) the fraction represented as mentioned in that subsection must be expressed as a specified amount per cent. per annum ; and
- (c) the specified amount must not be less than an amount calculated in accordance with the formula in sub-paragraph (2) below.

(2) The formula mentioned above is—

$$\frac{200 \, md}{p(n+1) + \frac{d}{3} (n-1)}$$

m being the number by which the instalment period must be multiplied in order to be equal to a period of twelve months ;

d being the difference between—

(a) the sum stated in the advertisement as the hire-purchase price of the goods ; and

(b) the sum stated in the advertisement as the cash price of the goods ;

p being the sum stated in the advertisement as the cash price of the goods, if it is stated in the advertisement that no deposit is payable, or else the difference between—

(a) the sum stated in the advertisement as the cash price of the goods ; and

(b) the amount of the deposit as stated in the advertisement, if that amount is directly expressed in the advertisement, or else the amount of the deposit calculated in accordance with the statement in the advertisement ;

n being the number specified in the advertisement as the total number of instalments payable.

(3) In sub-paragraph (2) above “the instalment period” means the period in respect of which, in accordance with the advertisement, each instalment is payable.

Section 8.

SCHEDULE 2

ENACTMENTS REPEALED

Chapter	Short Title	Extent of Repeal
5 & 6 Eliz. 2. c. 41. 1964 c. 53.	The Advertisements (Hire-Purchase) Act 1957. The Hire-Purchase Act 1964.	The whole Act. Part IV. Schedule 3. In Schedule 4, the entry relating to the Advertisements (Hire-Purchase) Act 1957.
1965 c. 67.	The Hire-Purchase (Scotland) Act 1965.	In Schedule 5, the entry relating to the Advertisements (Hire-Purchase) Act 1957.